

PRACTICE DIRECTION

**Issued under Regulation 17 of the
MERC (Grid Interactive Rooftop Renewable Energy Generating System) Regulations,
2019
Recognition of Digital Agreement for Rooftop Renewable Energy Generating Systems**

Date: 30 June 2026

1. Background:

- 1.1. Maharashtra State Electricity Distribution Co. Ltd., vide letter dated 22 June 2026, in light of the overarching statutory mandate of the Electricity (Rights of Consumers) Rules, 2020 and the central ease -of -doing business directives, requested the Commission to issue a direction waiving separate physical Net Metering Agreements for PM Surya Ghar: Muft Bijli Yojana (PMSGY) domestic consumers and to recognize the National Portal's digital agreement as legally enforceable across Maharashtra, noting that this would speed up net metering activation, support rooftop solar targets, and simplify the approval process.
- 1.2. MSEDCL further clarified, vide email dated 23 June 2026, that the waiver of physical agreements for Net Metering and Net Billing arrangements should apply to all rooftop solar applications, including applications under PMSGY and applications other than PMSGY, MSEDCL stated that this clarification is in accordance with the guidelines issued by the Ministry of Power, Government of India, vide letter No. 10/05/2022-UR&SI-II-(E-263845), dated 27 August 2025.
- 1.3. The Commission notes that the MERC (Grid Interactive Rooftop Renewable Energy Generating System) Regulations, 2019, as amended from time to time, require the Distribution Licensee and the Eligible Consumer to enter into an agreement after approval of connectivity of the Renewable Energy Generating System with the distribution network and before commencement of generation. The said Regulations also prescribe model agreements for various arrangements and modes of connection of Renewable Energy Generating Systems.
- 1.4. Accordingly, under the existing regulatory framework, a consumer intending to install a rooftop Renewable Energy Generating System is required to execute an agreement with the Distribution Licensee before commencement of generation from such system.
- 1.5. The Commission further notes that, while notifying the MERC (Electricity Supply Code and Standards of Performance for Distribution Licensees, including Power Quality) Regulations, 2021, it removed the requirement of executing a separate agreement for the release of a new

electricity connection. This regulatory change was made to simplify the connection process and reduce procedural delay. However, the requirement to execute an agreement for a rooftop Renewable Energy Generating System remains applicable under the 2019 Regulations.

- 1.6. The Ministry of Power, vide its letter dated 27 August 2025, advised all States to promote wider adoption and timely implementation of rooftop solar by dispensing with *separate Net Metering Agreements* and adopting a *digital agreement* forming part of the online application form for PM Surya Ghar: Muft Bijli Yojana. The Ministry further advised that, for applications other than PMSGY mode, the same approach may be adopted for consumers through the online application process for rooftop solar installations.
- 1.7. **The Commission has considered the existing regulatory requirement, the objective of procedural simplification, and the advice issued by the Ministry of Power. The Commission is of the view that recognition of digital acceptance of the applicable agreement terms will facilitate timely rooftop solar implementation while preserving the contractual safeguards contemplated under the 2019 Regulations. Accordingly, the Commission issues the following Practice Direction under Regulation 17 of the MERC (Grid Interactive Rooftop Renewable Energy Generating System) Regulations, 2019.**

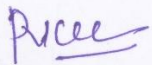
2. Practice Direction:

- 2.1. This Practice Direction shall apply to all Distribution Licensees in the State of Maharashtra. Where a consumer applies for a rooftop solar connection through the PMSGY portal, the digital agreement forming part of the online application form on the portal shall be deemed to satisfy the agreement requirement under the MERC (Grid Interactive Rooftop Renewable Energy Generating System) Regulations, 2019. In such cases, the Distribution Licensee shall not insist upon execution of a separate physical Agreement.
- 2.2. For rooftop Renewable Energy Generating System applications other than PMSGY mode, the Distribution Licensee shall incorporate the terms and conditions of the applicable model agreement in the online application form. Acceptance of such terms and conditions by the consumer through the online application process shall be deemed to constitute execution of the agreement required under the Regulations.
- 2.3. This Practice Direction shall come into force from the date of its issue.

Sd/-
(Surendra J. Biyani)
Member

Sd/-
(Anand M. Limaye)
Member

Sd/-
(Valsa Nair Singh)
Chairperson


(Dr Prafulla S. Varhade)
Secretary

